

Reinsurance Treaty - EX2025001

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_1

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PARTIES TO THE TREATY

THE REINSURED (Ceding Company):

Example Cedent Inc.

[Registered Address]

[Registration Number]

THE REINSURER:

Example Reinsurer Corp.

[Registered Address]

[Registration Number]

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ARTICLE 1 - DEFINITIONS

For the purposes of this Treaty, the following terms shall have the meanings set forth below:

****1.1 "Accounting Period"***** means each calendar quarter during the Period of this Treaty.

****1.2 "Business Covered"***** means the business as defined in Article 3 of this Treaty.

****1.3 "Ceding Commission"***** means the commission payable by the Reinsurer to the Reinsured as specified in Article 7.

****1.4 "Gross Premium Income"***** means the total premium income received or receivable by the Reinsured in respect of the Business Covered before deduction of any commission, brokerage, or other costs.

****1.5 "Loss"*** or ***"Losses"***** means all sums paid or payable by the Reinsured in respect of claims, including loss adjustment expenses as defined in Article 8.

****1.6 "Net Retention"***** means the amount or percentage of risk retained by the Reinsured as specified in Article 4.

****1.7 "Period"***** means the period specified in Article 2.

****1.8 "Quota Share Percentage"***** means the percentage of Business Covered ceded to the Reinsurer as specified in Article 4.

****1.9 "Territory"***** means the geographical area as defined in Article 3.

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ARTICLE 2 - PERIOD OF COVER

****2.1 Effective Date and Expiry****

This Treaty shall become effective at 00:01 hours GMT on ****1st January 2025**** and shall continue in force until 24:00 hours GMT on ****31st December 2025**** (the "Period").

****2.2 Risks Attaching Basis****

This Treaty is written on a risks attaching basis. The Reinsurer shall be liable for its Quota Share Percentage of all Business Covered where the original policy inception date falls within the Period, regardless of when the loss occurs or is reported.

****2.3 Run-Off****

The liability of the Reinsurer shall continue beyond the expiry date in respect of losses arising from Business Covered attaching during the Period, subject to the terms and conditions of this Treaty.

****2.4 Termination****

Either party may terminate this Treaty by giving not less than ninety (90) days written notice prior to the expiry date. In the absence of such notice, this Treaty shall not automatically renew.

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ARTICLE 3 - BUSINESS COVERED

****3.1 Classes of Business****

This Treaty shall apply to the following classes of business written by the Reinsured:

- Property Damage (Commercial and Industrial)
- Business Interruption (consequential loss)
- General Liability (excluding Professional Indemnity)
- Marine Cargo
- Engineering (Machinery Breakdown and Contractors All Risks)

****3.2 Territory****

The Business Covered shall be limited to risks located in or emanating from:

- United Kingdom
- European Union member states
- European Economic Area

****3.3 Exclusions****

The following classes and types of business are specifically excluded from this Treaty:

- a) Life, Accident, and Health insurance

- b) Professional Indemnity and Directors & Officers Liability
- c) Aviation and Space
- d) Nuclear risks and radioactive contamination
- e) War, terrorism, and political risks (unless specifically covered by market standard clauses)
- f) Cyber risks as primary peril
- g) Asbestos-related claims
- h) Pollution liability as primary coverage
- i) Any business written on a claims-made basis
- j) Retrocessional business
- k) Facultative reinsurance acceptances
- l) Any illegal business or business subject to trade sanctions

****3.4 Policy Terms****

Only business written on the Reinsured's standard policy wordings, terms, and conditions shall be covered under this Treaty. Any manuscript policies or non-standard terms must be submitted to the Reinsurer for prior approval.

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ARTICLE 4 - REINSURANCE SHARE AND RETENTION

****4.1 Quota Share Percentage****

The Reinsurer agrees to accept ****60%**** (sixty percent) of the Reinsured's liability on each and every risk forming part of the Business Covered (the "Quota Share Percentage").

****4.2 Net Retention****

The Reinsured shall retain for its own account ****40%**** (forty percent) of each and every risk forming part of the Business Covered (the "Net Retention").

****4.3 Application****

The Quota Share Percentage and Net Retention shall apply uniformly to:

- All premiums
- All losses and loss adjustment expenses

- All return premiums
- All salvages and recoveries

****4.4 Capacity Limitation****

Notwithstanding the Quota Share Percentage stated above, the maximum liability of the Reinsurer in respect of any one risk or loss occurrence shall not exceed:

****EUR 10,000,000**** (Ten Million Euros)

For risks exceeding this capacity limitation, the Reinsured may arrange separate facultative reinsurance protection.

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ARTICLE 5 - PREMIUM

****5.1 Premium Calculation****

The Reinsurer shall receive the Quota Share Percentage of all Gross Premium Income arising from the Business Covered during the Period.

****5.2 Premium Adjustments****

The premium payable to the Reinsurer shall be adjusted for:

- Policy cancellations
- Mid-term adjustments
- Return premiums
- Premium corrections

All such adjustments shall be made in the Accounting Period in which they are processed by the Reinsured.

****5.3 Minimum and Deposit Premium****

****Minimum Premium:**** EUR 5,000,000 (Five Million Euros)

****Deposit Premium:**** EUR 3,000,000 (Three Million Euros) payable as follows:

- EUR 750,000 on 1st January 2025

- EUR 750,000 on 1st April 2025
- EUR 750,000 on 1st July 2025
- EUR 750,000 on 1st October 2025

****5.4 Premium Warranty****

The Reinsured warrants that the estimated annual Gross Premium Income for the Business Covered is approximately ****EUR 15,000,000**** (Fifteen Million Euros).

Should the actual Gross Premium Income vary by more than 20% from this estimate, the parties agree to meet and discuss the continuation of this Treaty in good faith.

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ARTICLE 6 - LOSSES

****6.1 Loss Participation****

The Reinsurer shall pay to the Reinsured the Quota Share Percentage of all Losses paid or payable by the Reinsured in respect of the Business Covered, subject to the terms and conditions of this Treaty.

****6.2 Loss Settlement****

All losses shall be adjusted, settled, and paid by the Reinsured in accordance with the terms and conditions of the original policies and applicable law. The Reinsurer agrees to follow the settlements of the Reinsured.

****6.3 Ex Gratia and Policy Settlements****

The Reinsurer shall be bound by all ex gratia payments and policy settlements made by the Reinsured, provided such payments are reasonable and made in good faith in the ordinary course of business.

****6.4 Large Loss Notification****

The Reinsured shall notify the Reinsurer as soon as reasonably practicable, and in any event within thirty (30) days, of any loss or occurrence which is likely to involve the Reinsurer for an amount exceeding:

****EUR 500,000**** (Five Hundred Thousand Euros)

Such notification shall include all available information regarding the circumstances of the loss.

****6.5 Catastrophe Aggregation****

For the purposes of this Treaty, losses arising from a single event or catastrophe shall be aggregated and treated as one loss occurrence. The definition of a single event shall follow market practice and shall include:

- Natural catastrophes (windstorm, flood, earthquake, etc.) occurring within a 72-hour period
- Man-made catastrophes (fire, explosion, etc.) arising from a single originating cause
- Other losses arising from a common cause within a defined time period
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ARTICLE 7 - CEDING COMMISSION

****7.1 Commission Rate****

The Reinsurer shall allow the Reinsured a ceding commission of ****30%**** (thirty percent) of the reinsurance premium payable under this Treaty.

****7.2 Commission Purpose****

The ceding commission is intended to reimburse the Reinsured for:

- Acquisition costs
- Policy administration expenses
- General overhead allocation
- Premium collection costs

****7.3 Commission on Adjustments****

The ceding commission shall apply equally to all premium adjustments, whether positive or negative.

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ARTICLE 8 - LOSS ADJUSTMENT EXPENSES

****8.1 Definition****

Loss Adjustment Expenses ("LAE") shall include all costs and expenses incurred by the Reinsured in the investigation, adjustment, negotiation, and settlement of claims, including but not limited to:

- Loss adjusters' fees
- Legal fees and court costs
- Expert and surveyor fees
- Investigation costs

****8.2 Allocation****

The Reinsurer shall participate in LAE in the same proportion as its Quota Share Percentage.

****8.3 Internal Expenses****

Internal claims handling expenses of the Reinsured are deemed to be covered by the ceding commission and shall not be charged separately to the Reinsurer.

****8.4 LAE Cap****

Loss Adjustment Expenses shall be included within the capacity limitation specified in Article 4.4.

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ARTICLE 9 - PROFIT COMMISSION

****9.1 Profit Commission Calculation****

Subject to the conditions set forth below, the Reinsurer shall pay to the Reinsured a profit commission calculated as follows:

****Profit Commission = 20% × Underwriting Profit****

****9.2 Underwriting Profit Definition****

For the purposes of this Article, Underwriting Profit shall be calculated as:

****Underwriting Profit = Reinsurance Premium – Ceding Commission – Incurred Losses – LAE – Reinsurer's Expenses****

Where:

- **Reinsurance Premium** = Total premium ceded to the Reinsurer (after adjustments)
- **Ceding Commission** = Commission paid to the Reinsured as per Article 7
- **Incurred Losses** = Paid losses plus case reserves plus IBNR reserves
- **LAE** = Loss Adjustment Expenses as per Article 8
- **Reinsurer's Expenses** = 2% of Reinsurance Premium

9.3 Profit Commission Conditions

Profit commission shall only be payable if:

- a) The loss ratio (Incurred Losses + LAE / Reinsurance Premium) does not exceed **65%**
- b) All premium due to the Reinsurer has been paid in full
- c) The Treaty has been in force for the full Period

9.4 Payment Timing

Profit commission, if any, shall be calculated and paid within ninety (90) days following the end of the Period, based on losses incurred and premiums earned as of the expiry date.

9.5 Final Adjustment

The profit commission calculation shall be subject to final adjustment at twenty-four (24) months after the expiry date, based on the ultimate development of losses and premiums.

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ARTICLE 10 - ACCOUNTS AND REPORTS

10.1 Quarterly Accounts

The Reinsured shall render to the Reinsurer, within forty-five (45) days following the end of each Accounting Period, a detailed account showing:

- a) Gross Premium Income by class of business
- b) Reinsurance premium ceded
- c) Ceding commission

- d) Paid losses and LAE
- e) Outstanding case reserves
- f) IBNR reserves (estimated)
- g) Balance due to or from the Reinsurer

****10.2 Premium and Loss Bordereaux****

The quarterly accounts shall be accompanied by:

- ****Premium Bordereau**** showing details of all policies incepting during the period
- ****Loss Bordereau**** showing details of all losses paid or reserved during the period

****10.3 Format****

All accounts and bordereaux shall be rendered in a format mutually agreed between the parties, and may be submitted electronically.

****10.4 Annual Statement****

Within ninety (90) days following the end of the Period, the Reinsured shall provide a comprehensive annual statement including:

- Summary of premium and loss activity
- Analysis by class of business
- Large loss details
- Profit commission calculation (if applicable)
- Outstanding reserves position
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ARTICLE 11 - PAYMENT TERMS

****11.1 Currency****

All payments under this Treaty shall be made in ****Euros (EUR)**** unless otherwise agreed.

****11.2 Settlement Basis****

Accounts shall be settled on a quarterly net balance basis. The net amount due shall be paid within thirty (30) days following receipt of the account.

****11.3 Interest on Overdue Balances****

Any balance remaining unpaid after the due date shall bear interest at the rate of ****EURIBOR + 2%**** per annum, calculated on a daily basis from the due date until the date of payment.

****11.4 Payment Method****

Payments shall be made by electronic bank transfer to the account designated by the receiving party.

****11.5 Right of Offset****

Each party shall have the right to offset any balance due to it against any balance it owes to the other party under this Treaty or any other agreement between the parties.

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ARTICLE 12 - SALVAGE AND RECOVERIES

****12.1 Participation****

The Reinsurer shall participate in all salvages, recoveries, and subrogation proceeds in the same proportion as its Quota Share Percentage.

****12.2 Expenses****

All expenses incurred in obtaining salvages and recoveries shall be shared in the same proportion as the original loss.

****12.3 Settlement****

All salvages and recoveries shall be accounted for in the Accounting Period in which they are received by the Reinsured.

****12.4 Allocation****

Salvages and recoveries shall be allocated first to loss adjustment expenses, then to loss payments, in accordance with market practice.

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ARTICLE 13 - INSOLVENCY

****13.1 Reinsurer's Liability****

The insolvency or bankruptcy of the Reinsured shall not relieve the Reinsurer of its obligations under this Treaty.

****13.2 Payment to Liquidator****

In the event of the insolvency of the Reinsured, the Reinsurer shall make payment of reinsurance recoveries directly to the Reinsured or to its liquidator, receiver, or statutory successor, on the basis of claims allowed by the liquidator or receiver.

****13.3 Set-off Limitation****

The Reinsurer shall not have the right to set off against amounts due to the insolvent Reinsured any debts owed by the Reinsured to the Reinsurer, except to the extent permitted by applicable insolvency law.

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ARTICLE 14 - ACCESS TO RECORDS

****14.1 Right of Inspection****

The Reinsurer, or its authorized representatives, shall have the right, at reasonable times and upon reasonable notice, to inspect and audit all records of the Reinsured relating to the Business Covered.

****14.2 Scope of Access****

Such access shall include, but not be limited to:

- Policy files and documentation
- Claims files and loss reports
- Premium and loss bordereaux
- Accounting records
- Underwriting guidelines and procedures

****14.3 Confidentiality****

All information obtained during such inspections shall be treated as confidential and used solely for the purposes of administering this Treaty.

****14.4 Costs****

Each party shall bear its own costs in connection with any audit or inspection, unless the audit reveals a material discrepancy exceeding 5% of the amounts reported, in which case the Reinsured shall bear the reasonable costs of the audit.

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ARTICLE 15 - ERRORS AND OMISSIONS

****15.1 Inadvertent Errors****

Inadvertent errors or omissions by either party shall not relieve either party from any liability which would have attached had such error or omission not been made, provided that such error or omission is rectified promptly upon discovery.

****15.2 Notification****

Any party discovering an error or omission shall notify the other party as soon as reasonably practicable.

****15.3 Correction****

Appropriate corrections shall be made to any accounts or statements affected by such errors or omissions.

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ARTICLE 16 - CONFIDENTIALITY

****16.1 Confidential Information****

Each party agrees to maintain the confidentiality of all information received from the other party in connection with this Treaty, including but not limited to:

- Business and financial information

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Document generated on 12 December 2025 - Confidential